

EVG1003 - Daniel Okafor - 2025 Form 1040

CLIENT COPY - FINAL (signed off) - Tax Year 2025 - Prepared by Evergreen Tax (synthetic firm)

Taxpayer	Daniel C. Okafor (XXX-XX-5082)
Address	7720 W Oquendo Rd, Unit 2114, Las Vegas, NV 89113
Filing status	Single
Digital assets question	No
Forms included	1040; Sch 1, 1-A, 2, C, SE; Forms 4137, 8995 (2210 not required)
State	None - Nevada has no individual income tax
Filing method	E-file (8879 signed 03/10/2026); balance due by Direct Pay 04/15/2026

Key figures	Amount
Total income (1040 line 9)	62,647
Adjusted gross income (line 11)	61,471
Deduction (line 12e) - Standard	15,750
QBI deduction (line 13a)	3,094
Schedule 1-A deductions (line 13b)	25,000
Taxable income (line 15)	17,627
Total tax (line 24)	4,351
Total payments (line 33)	4,150
BALANCE DUE (line 37 + 38)	201

Form 1040

Line	Description	Amount
1a	Total amount from Form(s) W-2, box 1	44,400
1b	Household employee wages not reported on Form(s) W-2	0
1c	Tip income not reported on line 1a (Form 4137)	1,600
1e	Taxable dependent care benefits (Form 2441, line 26)	0
1h	Other earned income	0
1z	Add lines 1a through 1h	46,000
2a	Tax-exempt interest	0
2b	Taxable interest	0
3a	Qualified dividends	0
3b	Ordinary dividends	0
4a	IRA distributions	0
4b	IRA distributions - taxable amount	0
5a	Pensions and annuities	0
5b	Pensions and annuities - taxable amount	0
6a	Social security benefits	0
6b	Social security benefits - taxable amount	0
7	Capital gain or (loss) (Schedule D)	0
8	Additional income from Schedule 1, line 10	16,647
9	Total income	62,647
10	Adjustments to income from Schedule 1, line 26	1,176
11	Adjusted gross income	61,471
12e	Standard deduction or itemized deductions (Standard)	15,750
13a	Qualified business income deduction (Form 8995/8995-A)	3,094
13b	Additional deductions from Schedule 1-A, line 38	25,000
14	Add lines 12e, 13a, and 13b	43,844
15	Taxable income	17,627
16	Tax	1,877
17	Amount from Schedule 2, line 3	0
18	Add lines 16 and 17	1,877
19	Child tax credit / credit for other dependents (Schedule 8812)	0
20	Amount from Schedule 3, line 8	0
21	Add lines 19 and 20	0
22	Subtract line 21 from line 18	1,877
23	Other taxes, including self-employment tax, from Schedule 2, line 21	2,474
24	Total tax	4,351
25a	Federal income tax withheld - Form(s) W-2	3,150
25b	Federal income tax withheld - Form(s) 1099	0
25c	Federal income tax withheld - other forms (incl. Form 8959 line 24)	0
25d	Total withholding	3,150
26	2025 estimated tax payments and amount applied from 2024 return	1,000
27a	Earned income credit (EIC)	0

Line	Description	Amount
28	Additional child tax credit (Schedule 8812)	0
29	American opportunity credit - refundable (Form 8863, line 8)	0
31	Amount from Schedule 3, line 15	0
32	Total other payments and refundable credits	0
33	Total payments	4,150
34	Amount overpaid	0
35a	Refund	0
37	Amount you owe	201
38	Estimated tax penalty (Form 2210)	0

Schedule 1

Line	Description	Amount
3	Business income or (loss) - Schedule C	16,647
10	Additional income (to Form 1040, line 8)	16,647
15	Deductible part of self-employment tax (Schedule SE)	1,176
26	Total adjustments to income (to Form 1040, line 10)	1,176

Schedule 1-A

Line	Description	Amount
Part I	Modified AGI	61,471
Part II	Qualified tips deduction (qualified tips 29,060, occupation: Bartenders (W-2) / Rideshare drivers (Sch C))	25,000
38	Total additional deductions (to Form 1040, line 13b)	25,000

Form 8995

Line	Description	Amount
1	Uber rideshare (QBI) 3,471; component (below threshold: 20% x QBI)	3,094
2	limit 20% x (taxable income before QBI 20,721 - net capital gain & qualified dividends 0)	4,144
3	deduction Qualified business income deduction	3,094

Schedule SE

Line	Description	Amount
T	Net earnings 15,374; SS 1,906; Medicare 446; half deductible 1,176	2,352

Schedule 2

Line	Description	Amount
4	Self-employment tax (Schedule SE)	2,352
5	Social security and Medicare tax on unreported tip income (Form 4137)	122
21	Total other taxes (to Form 1040, line 23)	2,474

Schedule C detail

Schedule C - Uber rideshare (NAICS 485310), cash method, Nevada	Amount
Line 1 Gross receipts: 1099-K \$38,720 (fares, booking/airport fees, tolls, tips) + 1099-NEC \$1,150	39,870
Line 9 Car and truck: 15,145 business miles x \$0.70 + tolls \$340 (commute 4,180 mi excluded)	10,942
Line 10 Commissions and fees: Uber service fee \$7,660 + booking fees \$2,410 + airport/other \$1,070	11,140
Line 22 Supplies: car washes, rider water/mints \$380; dash cam \$149	529
Line 25 Utilities: phone \$1,020 x 60% business	612
Line 28 Total expenses	23,223
Line 31 Net profit	16,647
Not deducted: gas \$3,900, insurance \$2,280, oil changes \$310 (included in standard mileage rate)	0

Vehicle information (Schedule C Part IV)

Form 4562 Part V / Sch C Part IV - vehicle information	Detail
Vehicle / placed in service for business	2021 Toyota Camry SE / 09/2024 (standard mileage elected 2024)
Total miles 2025 (odometer 48,210 -> 71,960)	23,750
Business miles (Uber online miles)	15,145
Commuting miles (home <-> casino bartending job)	4,180
Other personal miles	4,425
Evidence (written)?	Yes - app report + log
Another vehicle for personal use?	No

Form 4137 detail

Form 4137 - Social Security and Medicare Tax on Unreported Tip Income	Amount
1(c) Total cash and charge tips received (tip diary) - Silver Sage Casino Resort EIN 00-8812046	26,200
1(d) Tips reported to employer (Forms 4070 = W-2 box 7)	24,600
4 Unreported tips (actual per diary; allocated tips box 8 \$2,900 NOT used - adequate records)	1,600
5 Tips not required to be reported (< \$20/month)	0
6 Unreported tips subject to Medicare	1,600
8 SS wages + SS tips (W-2 boxes 3 + 7)	44,400
10 Subject to SS tax	1,600
11 x 6.2%	99
12 x 1.45%	23
13 Total (to Schedule 2 line 5)	122

Schedule 1-A Part II - no tax on tips

Schedule 1-A Part II - qualified tips	Amount
W-2 box 7 social security tips (bartender - listed occupation)	24,600
Form 4137 line 4 unreported tips (bartender)	1,600

Schedule 1-A Part II - qualified tips	Amount
Rideshare rider tips (Sch C; rideshare driver - listed occupation; limited to Sch C net)	2,860
Total qualified tips	29,060
Limited to \$25,000 (MAGI below \$150,000 - no phase-out)	25,000
Not qualified: W-2 box 8 allocated tips not reported; tip-outs paid	-

Form 8995 detail

Form 8995 - QBI	Amount
Schedule C net profit	16,647
Less deductible 1/2 SE tax	(1,176)
QBI	15,471
20% component	3,094
Income limit: 20% x taxable income before QBI (AGI - std ded - Sch 1-A tips) 20,721	4,144
QBI deduction (smaller)	3,094

Form 2210 underpayment check (workpaper only)

Form 2210 Part IV - installment	Due date	Required (cumulative)	Paid (cumulative)	Underpaid?
Q1	04/15/2025	790	1,288	No
Q2	06/16/2025	1,580	2,575	No
Q3	09/15/2025	2,369	3,363	No
Q4	01/15/2026	3,159	4,150	No
Required annual payment = smaller of 90% x 2025 tax or 100% x 2024 tax		3,159		